



Risk Register 2021

BDO Pension Fund

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Low-Med	Med-High	4	Investment Ctte
Interest rate and inflation movements	Low	High	9	Investment Ctte
Longevity improvements beyond assumptions	Medium	High	5	Investment Ctte
Member option take-up variations	Medium	Medium	14	Trustee

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Med-High	Med-High	5	Administrator
Corporate restructuring or disposal	Med-High	High	12	Investment Ctte
Dividend policy changes	Low-Med	Med-High	7	Investment Ctte

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Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Med-High	Medium	7	Administrator
Liquidity shortfall under stress	Med-High	Medium	15	Trustee
Manager underperformance	Low	Medium	11	Investment Ctte

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Low-Med	High	12	Administrator
Data quality degradation	Medium	High	10	Administrator
Cyber and information security	Medium	High	10	Investment Ctte

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Low-Med	Med-High	5	Sponsor
Changes to tax regime for pensions	Low-Med	Medium	11	Investment Ctte
New Funding Code compliance	Med-High	Med-High	5	Investment Ctte

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Med-High	High	12	Sponsor
Complaints and IDRP escalations	Medium	Medium	10	Trustee
Safeguarding vulnerable customers	Low-Med	Med-High	5	Administrator

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Low-Med	High	4	Administrator
Insurer capacity and selection	Low	High	7	Investment Cttee
Transfer documentation errors	Medium	Medium	7	Sponsor

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Med-High	Med-High	13	Sponsor
Physical risk on property holdings	Low	Medium	8	Sponsor
TCFD reporting completeness	Low-Med	Med-High	7	Investment Ctte

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Low	Medium	15	Administrator
Adviser rotation and independence	Low	Medium	11	Sponsor
Conflict of interest management	Med-High	Medium	13	Administrator

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